

Rigetti Computing, Inc.

RGTI NASDAQ

Hold

\$18.96 ▲ 3.30%

12M Price Target
\$24.00

52-Week Range
\$11.14 – \$58.15

Market Cap
\$6.30B

RGTI: Quantum Hype Cooling, Insider Selling Flashes Yellow

WHAT HAPPENED

- Stock is bouncing +3.3% today but that's a dead-cat bounce off a brutal week — RGTI dropped from \$21.28 to \$18.36 (down ~14%) after the quantum names collectively got hit with what Motley Fool called an "\$857 million warning." Translation: the group did big capital raises (selling new shares to fund operations), which dilutes existing shareholders — meaning your slice of the pie shrinks.
- The Microsoft Majorana controversy (Microsoft's competing quantum approach has been getting scrutinized) is actually a relative positive for RGTI's superconducting approach, but the market is treating the whole sector as one trade right now.

WHY IT MATTERS

Here's what I think is really going on: insiders sold ~\$5.8M in stock over the last month including the CEO dumping shares at \$24 — that's a tell. When the people who know the business best are selling into strength, you should at least pause before chasing. BUT options flow is bullish (more bets on the stock going up than down, ratio of 0.53) and institutions own 56% with BlackRock and Vanguard sitting on huge blocks, so the "smart money" is split. The real read: this stock is now a pure proxy for federal quantum spending and sentiment around the sector — fundamentals barely matter at \$6.3B market cap on ~\$18M in revenue (that's trading at ~350x sales, which is venture-capital territory not public-market territory).

POLICY & POLITICAL WATCH

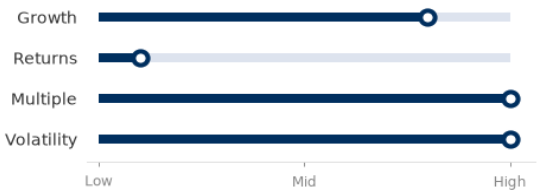
The big one to watch: the National Quantum Initiative Reauthorization Act — the original 2018 law expired and Congress has been working on a renewal that could pump \$2.7B+ into quantum R&D, with companies like Rigetti directly plugged into DOE and DARPA programs. If it clears with strong funding, RGTI is a direct beneficiary because they already have existing contracts with Air Force Research Lab and DOE national labs. Also watch the CHIPS Act implementation — quantum got carved into the broader semiconductor/advanced computing buckets, and any expansion of "Made in America" tech subsidies under the current administration's industrial policy push flows straight to domestic quantum players like Rigetti over foreign competitors.

IS IT EXPENSIVE?

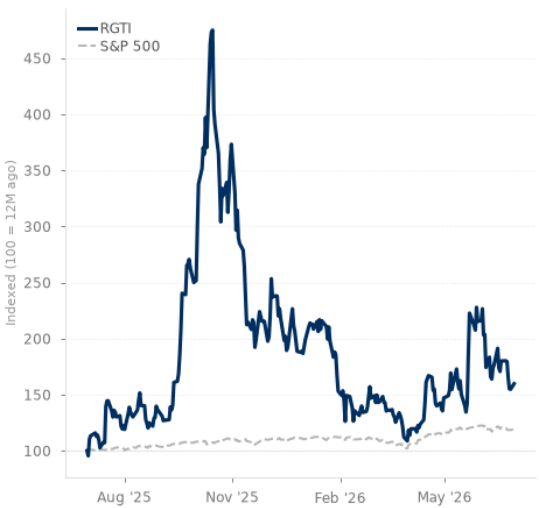
Key Data

Price (USD)	\$18.96
12M Price Target	\$24.00
Upside / (Downside)	+26.6%
Market Cap	\$6.30B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.35)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$24.00	\$19.50	\$15.00
6 Months	\$32.00	\$22.00	\$12.00
1 Year	\$45.00	\$24.00	\$10.00
2 Years	\$70.00	\$35.00	\$8.00
5 Years	\$150.00	\$60.00	\$5.00
10 Years	\$400.00	\$100.00	\$2.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+2.17%) and Communications Services (+1.73%) leading today — risk-on sentiment is back, which usually helps speculative names like RGTI. Technology is up 1.6% today but still down 4.2% on the week, suggesting the recent quantum-led tech selloff is stabilizing.

COOLING OFF: Energy is flatlining (+0.04%) — investors aren't pricing in inflation/geopolitical fears, which is good for high-multiple growth stocks like quantum.

ROTATION WATCH: Money is rotating back toward "long-duration" growth (companies whose value depends on profits far in the future) — that's exactly the bucket RGTI lives in. If this rotation holds, quantum names get a tailwind.

RELATED PLAY: The "picks and shovels" angle — companies making cryogenic cooling systems and specialty chips for quantum computers (like FormFactor/FORM) benefit regardless of which quantum company wins.

WHO'S WINNING IN THIS SPACE?

- IONQ (IonQ): Generally seen as the quality leader in the pure-play quantum group — better-funded balance sheet and more enterprise pilots
- QBTS (D-Wave): Has been gaining ground because their annealing approach is already commercially deployed, even if it's not "full" quantum computing

RGTI CONTEXT: RGTI is middle-of-the-pack — not the premium name (IONQ) and not the "already shipping" name (QBTS). It's lagging on the bounce today, which suggests the market views it as the weaker hand in the trio. That's a yellow flag — when a stock can't lead its peer group on an up day, it usually means selling pressure isn't done.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

Position Size: 1-2% of portfolio (speculative sleeve only)

Entry Points: \$14-16 on broader quantum selloffs

Time Horizon: 18-36 months

Thesis Invalidation: Cash burn accelerates without commercial revenue traction, or NQI reauthorization stalls in Congress

Hedging: Pair with QBTS or IONQ to neutralize single-name risk in the quantum basket